

Acceptance in Contract Law

How an offeree turns an offer into an agreement

CORE IDEA

A contract is not created by an offer alone. The offer must be accepted in a legally effective way.

SUBJECT	English Contract Law
LEVEL	Introductory • No previous legal education required
FOCUS	Mirror rule • Objective test • Acceptance by conduct • Brogden

A clear Legal English guide for international students

1. Where Acceptance Fits

Start with the map before learning the rule.

FORMATION MAP

CONTRACT = AGREEMENT + CONSIDERATION + INTENTION + any required FORMALITIES

This guide deals with only one part of that map: agreement. In the usual analysis, agreement is built from two connected acts:

Step	Legal act	Simple meaning
1	Offer	One party proposes definite terms on which it is prepared to contract.
2	Acceptance	The other party gives a final and unqualified “yes” to those terms.

The people in the transaction

Term	Meaning	Question to ask
Offeror	the person who makes the offer	What exactly did this person propose?
Offeree	the person to whom the offer is made	Did this person accept that offer?

Learning objectives

- explain acceptance in plain English;
- apply the objective test to words and conduct;
- use the mirror rule to separate acceptance from a counter-offer;
- explain how conduct can create a binding contract; and
- state the facts, reasoning and final outcome of *Brogden v Metropolitan Railway Co.*

JURISDICTION NOTE

The guide explains traditional principles of English contract law. Other legal systems may use similar ideas, but their detailed rules can differ.

2. What Is Acceptance?

The law looks for an outward, final and unqualified assent.

Acceptance is the offeree's final and unqualified assent to the terms of an offer. "Assent" means agreement or consent. The essential idea is simple: the offeree must say or do something that objectively means yes to the offer as made.

CORE RULE

Acceptance must correspond with the offer and must be shown objectively through words or conduct.

The objective test

A court does not normally ask only what a person secretly intended. It asks what a reasonable person, knowing the relevant circumstances, would understand from the person's words and actions.

Not enough by itself	Potentially sufficient
"I decided privately that I agree."	"I accept your offer" communicated to the offeror.
An unexpressed intention to perform.	Conduct that clearly performs the proposed bargain.
A later claim: "That is what I meant."	Words and behaviour that reasonably communicate agreement at the time.

Why use an objective test?

- Other people cannot directly know a person's private thoughts.
- Commercial parties need to rely on observable words and behaviour.
- The test promotes certainty: the same evidence can be examined by both parties and by a court.

Mini-example

Seller: "I will sell you 100 chairs for £4,000, delivery on 1 June." Buyer: "I accept those terms." A reasonable person would understand the buyer's words as a final yes. Subject to the other requirements of contract formation, there is agreement.

LANGUAGE POINT

In legal English, "accept an offer" is the standard expression. We do not usually say "accept a contract": acceptance helps to create the contract.

3. The Mirror Rule

Acceptance must match the offer.

The lecture calls this the mirror rule. It is also commonly called the mirror-image rule. The offeree must accept the terms that the offeror proposed. A response that changes the terms is normally not an acceptance.

Offer	Response	Legal character
“£4,000; delivery on 1 June.”	“Yes, I accept.”	Acceptance: the response mirrors the offer.
“£4,000; delivery on 1 June.”	“I accept, but delivery must be on 15 June.”	Not a matching acceptance; it introduces a new term.
“£4,000; delivery on 1 June.”	“Would you be able to deliver earlier?”	Possibly only a request for information; context matters.

Acceptance or counter-offer?

A counter-offer is a new proposal made in response to the original offer. It says, in substance: “I will contract, but on different terms.” This matters because a counter-offer is not the final yes required for acceptance.

- 1. Identify the offer** — Write down its essential terms: subject matter, price, quantity, timing and any stated method of acceptance.
- 2. Interpret the response objectively** — Ask what a reasonable person would understand from the words and conduct.
- 3. Compare the two** — Does the response give an unqualified yes, or does it add, remove or change a term?
- 4. State the result** — Matching response: possible acceptance. Material change: normally a counter-offer.

IMPORTANT CAUTION

Not every question changes the offer. A request for clarification may leave the original offer open. Always read the exact words in context.

4. Acceptance by Conduct

A signature is useful evidence, but it is not always necessary.

Acceptance may be expressed in words, in writing, or through conduct. Conduct means behaviour. If an offeree behaves in a way that objectively shows agreement with the offered terms, that behaviour may constitute acceptance.

Form of acceptance	Illustration	What the court examines
Spoken words	"I accept your offer."	Were the words final, clear and communicated?
Writing	A signed letter or email accepting the stated terms.	Did the document correspond with the offer?
Conduct	The parties begin performing the proposed bargain.	Does the behaviour clearly point to the alleged agreement?

A practical test for conduct

- Was there a sufficiently definite offer or proposed set of terms?
- Did the alleged acceptor know of those terms?
- Did the person act in a way that was consistent with them?
- Would a reasonable person understand the conduct as assent?
- Did both parties treat the arrangement as binding?

Example

A supplier receives a proposed six-month supply agreement. No one signs it. The buyer then places monthly orders at the exact price and quantity in the document, and the supplier delivers and accepts payment on those terms. Their repeated performance may objectively show acceptance by conduct.

What conduct does not automatically prove

- that every draft document is binding;
- that signatures and formalities never matter; or
- that any performance proves agreement to every disputed term.

FORMALITIES

Some contracts must satisfy legal formalities, and parties may make signature a condition of being bound. Acceptance by conduct cannot simply erase such a requirement.

5. Case Study: Brogden v Metropolitan Railway Co

(1877) 2 App Cas 666 (House of Lords)

The commercial background

Brogden's firm had supplied coal to the Metropolitan Railway Company for years under an informal arrangement. The parties later tried to place their relationship on written terms.

What happened — step by step

1. **Draft sent** — The railway company sent a draft supply agreement to Brogden.
2. **Draft changed** — Brogden filled in a blank concerning an arbitrator, marked the document “approved” and returned it. Because he changed the document, his response could be understood as a counter-offer.
3. **No formal execution** — The railway company did not sign or formally notify Brogden that it accepted the amended draft.
4. **Performance followed** — For a substantial period, coal was ordered, delivered and paid for in a manner consistent with the draft terms.
5. **Dispute** — A dispute later arose. Brogden argued that the draft had never become a binding contract because the formal document had not been completed.

The legal issue

ISSUE

Can a binding contract arise when the parties do not formally execute the draft, but their later conduct objectively shows that they are acting on it?

Why the case is easy to misunderstand

The important point is not simply that “there was a draft.” A draft alone may show only negotiations. The decisive evidence was the parties’ conduct after the amended draft was returned.

6. Brogden: Decision, Reasoning and Outcome

Decision

The House of Lords held that a binding contract existed. Although the formal document had not been executed in the expected way, the parties had acted on the proposed terms. Their conduct objectively demonstrated agreement.

Reasoning in simple form

Question	Answer in the case
Was the amended draft itself enough?	Not necessarily. Brogden's amendment required acceptance by the railway company.
Was there an express written acceptance?	No formal written acceptance was communicated.
What supplied the acceptance?	The parties' performance in accordance with the draft terms.
Why was the conduct important?	It showed objectively that the parties treated the arrangement as binding.

Final outcome

OUTCOME

Brogden's appeal was dismissed. The parties were bound by a contract formed through their conduct, and Brogden could not avoid the contractual obligation merely because the formal document had not been signed and exchanged.

The legal principle

When parties act on a draft agreement and objectively treat it as binding, their conduct can amount to acceptance and create a contract—even though the contemplated formal instrument was never completed.

What the case does not mean

- Every unsigned draft is automatically a contract.
- A private decision to accept is legally sufficient.
- A court may ignore the exact terms of the offer or counter-offer.
- Formal legal requirements are never necessary.

CASE SIGNIFICANCE

Brogden is a classic example of acceptance by conduct: the law can recognise what the parties objectively did, not only what they formally signed.

7. How to Analyse an Acceptance Problem

Use a short IRAC structure: Issue • Rule • Application • Conclusion

Issue

Identify the precise formation question. Example: “Did the buyer accept the seller’s offer by words or conduct?”

Rule

State the relevant rule briefly: acceptance must be final and unqualified, correspond with the offer, and be established objectively. Conduct may amount to acceptance if it clearly shows assent to the proposed terms.

Application

Connect each important fact to the rule. Do not merely repeat the story.

- Quote or summarise the exact offer.
- Identify any change made in the response.
- Explain what a reasonable person would understand.
- Describe the performance: orders, delivery, payment or use of the promised service.
- Compare the facts with Brogden if the parties acted on an unsigned draft.
- Address contrary evidence—for example, “subject to contract” or an express signature requirement.

Conclusion

Give a direct, qualified answer. Example: “On balance, the repeated orders and deliveries on the draft terms objectively show acceptance by conduct; a binding agreement was therefore formed.”

Compact problem checklist

Ask	Purpose
1. What was the offer?	You cannot test acceptance without identifying the terms.
2. Who was the offeree?	Only the person to whom the offer was made can accept it.
3. Did the response match?	A changed term may indicate a counter-offer.
4. What was communicated?	Private intention is not normally enough.
5. What conduct followed?	Performance may objectively establish acceptance.
6. Were formalities required?	A statute or the parties may require a particular form.

8. Legal English Toolkit

Term	Plain-English meaning	Useful sentence
acceptance	a final and unqualified yes to an offer	The offeree's email amounted to acceptance.
assent	agreement or consent	The conduct objectively demonstrated assent.
binding	legally enforceable	The parties treated the draft as binding.
by conduct	through behaviour rather than express words	The offer was accepted by conduct.
counter-offer	a response proposing different terms	The change of price was a counter-offer.
draft	a document not yet in final form	The parties acted in accordance with the draft.
execute a contract	complete it formally, commonly by signing	The parties never executed the document.
mirror rule	the acceptance must match the offer	The response failed to satisfy the mirror rule.
objective test	meaning judged from outward words and acts	The court applied an objective test.
offeree	the person receiving the offer	The offeree must accept the terms.
offeror	the person making the offer	The offeror proposed a delivery date.
unqualified	not limited or changed by new conditions	The reply was not an unqualified acceptance.

Useful analytical verbs

- constitute / amount to — “The deliveries amounted to acceptance by conduct.”
- indicate / demonstrate — “The payment demonstrated assent.”
- correspond with / match — “The response did not correspond with the offer.”
- vary / modify — “The offeree modified the delivery term.”
- infer — “The court inferred acceptance from the parties' performance.”

WRITING TIP

Prefer precise verbs. Instead of “They made a contract somehow,” write: “Their performance objectively demonstrated acceptance by conduct.”

9. Review and Self-Test

The five-point summary

1. **Agreement needs both sides** — An offer alone does not normally create a contract; it must be accepted.
2. **Acceptance is objective** — The law focuses on outward words and conduct, not only private intention.
3. **Acceptance must match** — A changed term normally prevents the response from being a matching acceptance.
4. **Conduct can speak** — Performance may communicate assent even without a signature.
5. **Brogden gives the model** — Acting on an amended draft created a binding agreement; Brogden's appeal was dismissed.

Check your understanding

1. Why is a secret decision to accept normally insufficient? —
2. What is the difference between an acceptance and a counter-offer? —
3. Which facts can show acceptance by conduct? —
4. Why was the unsigned draft not automatically binding in Brogden? —
5. What later behaviour allowed the House of Lords to find a contract? —
6. What was the final outcome of Brogden's appeal? —

One-minute problem

A café sends a supplier an unsigned draft: 20 bags of coffee each month at £300. The supplier changes the delivery day, writes “approved,” and returns it. The café does not sign, but for six months it orders and pays for deliveries on the changed day. Is there acceptance?

Suggested approach: identify the café's draft offer, the supplier's possible counter-offer, and the café's later conduct. Apply Brogden. The repeated orders and payments on the changed terms strongly support acceptance by conduct, unless some formal requirement or contrary statement prevents that conclusion.

Source and scope

Primary case: Brogden v Metropolitan Railway Co (1877) 2 App Cas 666 (House of Lords).

Prepared from the supplied lecture transcript and expanded for introductory Legal English study. This educational guide is not legal advice.